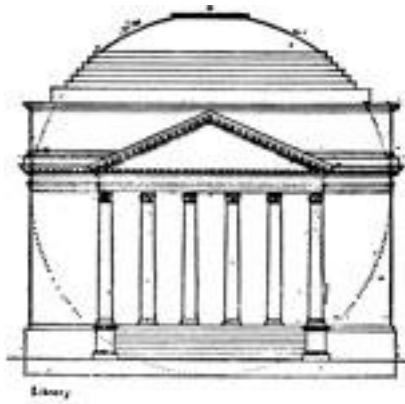




Organized Labor and the Clayton Act: Part I

Author(s): Louis B. Boudin

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ORGANIZED LABOR AND THE CLAYTON ACT: PART I

THE case of *United States v. American Federation of Musicians*,¹ more popularly known as the *Petrillo* case, now on its way to the Supreme Court, has re-opened the broad subject of the applicability of our anti-trust laws to labor disputes, a subject which some of us had fondly hoped had been definitely disposed of in the *Apex Hosiery* and *Hutcheson* cases.^{1a} As will be seen further below, the opinion of the Supreme Court in the *Apex* case did not itself give a line of demarcation between those situations involving the activities of labor unions to which the Sherman Act applies and those to which it does not apply, but it did furnish the principle from which that line of demarcation is deducible.

Mr. Thurman Arnold, who is the official exponent of the United States Department of Justice in matters relating to anti-trust laws, has never accepted that principle. He has attempted to upset it in the *Hutcheson* case without success. But, as will be seen, the *Hutcheson* case was decided on an entirely different principle from that upon which the *Apex* case was decided, and the decision in that case cannot therefore be said to add anything to the *Apex* case, insofar as the main problem of applicability is concerned. Its importance lay principally in showing the general attitude of the Supreme Court, which may be interpreted as one of calling a halt to the improper application of anti-trust laws to labor disputes, and of endeavoring to establish a principle which would do away with the confusion which earlier decisions of the courts had brought into this field.

The *Petrillo* litigation approaches the subject from a different angle from either that of the *Apex* case or that of the *Hutcheson* case; and it is therefore the proper time to examine into the question as to the intention of Congress in passing the Clayton Act, about which there has been more difference of opinion and probably less study of the evidence, both in the profession and among

1. 11 U. S. L. WEEK 2299 (1942).

1a. *Apex Hosiery Co. v. Leader*, 310 U. S. 469 (1940); *U. S. v. Hutcheson*, 312 U. S. 219 (1941).

the laity, than on any piece of congressional legislation within the memory of living men.

It is one of the curiosities of the subject that notwithstanding the diversity of opinion with respect to the intent of Congress in passing that celebrated piece of legislation, there has never been an exhaustive study of the subject, on the basis of the long debates in Congress and the relation of those debates to the legal situation as it existed on the basis of earlier decisions of the courts. It is the purpose of the present article to supply the omission.

I

The Checkered History of the Clayton Act

The Clayton Act has probably had the most remarkable history of any statute ever enacted by Congress.² More than twenty years prior to its enactment, the courts rendered the first decision applying the Sherman Act to labor disputes.³ From that time on labor had clamored incessantly for a law exempting labor organizations from the operation of the federal anti-trust laws. As a result, numerous bills had been introduced in Congress with that end in view. Some of them actually passed the House but were defeated in the Senate. Concurrently, and intimately connected with the agitation for the exemption of labor from the provisions of the federal anti-trust laws, was an agitation to curb the power of judges to issue injunctions in labor disputes. While the agitation against what was called "Government by Injunction" was to a certain extent independent of the agitation for the exemption of labor from the operation of the anti-trust laws, and embraced not

2. The Clayton Act was an omnibus bill entitled: "An Act to supplement existing laws against unlawful restraints and monopolies, and for other purposes," and dealt with many separate and distinct subjects connected, or deemed to be connected, with the trust evil. It was, in fact, originally intended as a consolidation of three separate bills, independent pieces of legislation. Shortly after the enactment of that famous law, however, and because of its importance in connection with labor disputes, the Clayton Act came to be associated in the mind of the public as well as in the legal profession with the question of the position of labor under the anti-trust laws although only two of its sections dealt with labor. In this article "Clayton Act" is used as synonymous with the labor provisions of that Act.

3. *U. S. v. Workingmen's Amalgamated Council*, 54 Fed. 994 (C. C. E. D. La. 1893).

only the federal but also the state courts, the injunction cases which aroused the greatest resentment were either directly or indirectly connected with the Sherman Act. The most famous of these cases was the *Debs* case, which, although not a prosecution under the Sherman Act, was intimately associated with it.⁴ In the Clayton Act itself the two subjects are treated in two separate sections, Sections 6 and 20. The two sections are, however, intimately related, as will be seen further below. And the same is

4. The *Debs* case, which reached the Supreme Court, [Re *Debs*, 158 U. S. 564 (1895)] was a *habeas corpus* proceeding to test the validity of *Debs'* conviction for contempt of court for an alleged violation of an injunction in one of the injunction suits growing out of the Pullman strike. The suit in which that injunction was made was one in which the United States Government as plaintiff sought to enjoin the famous Pullman strike of 1894 on various grounds, including that of obstructing the mails, interfering with the carrying out of the provisions of the Interstate Commerce Act and violating the Sherman Act. As a basis for the latter claim the bill of complaint filed by the Government contained the following allegations:

"And your orator further charges that said defendants aimed and intended and do now aim and intend in and by the said conspiracy and combination to secure unto themselves the entire control of the interstate, industrial and commercial business in which the population of the city of Chicago and of the other communities along the lines of road of said railways are engaged with each other, and to restrain any and all other persons from any independent control or management of such interstate, industrial or commercial enterprises save according to the will and with the consent of the defendants * * *. And your orator further charges that by reason of said unlawful combination and conspiracy and the acts and doings aforesaid thereunder, the supply of coal and fuel for consumption throughout the different states of the Union and of grain, breadstuffs, vegetables, fruits, meats and other necessities of life, has been cut off, interrupted and interfered with, and the market therefor made largely unavailable, and dealers in all of said various products and the consumers thereof have been greatly injured, and trade and commerce therein among the states has been restrained, obstructed and largely destroyed."

The lower court based its decision with respect to the jurisdiction of the court mainly on the alleged violations of the Sherman Act. The Supreme Court, on the other hand, based its decision on other grounds, which is considered more important, but did not disapprove of the opinion of the court below that the Sherman Act was applicable and therefore gave the Federal court jurisdiction. Concluding its opinion in the case, the Supreme Court said:

"We enter into no examination of the Act of July 2, 1890 (26 STAT. 209) upon which the circuit court relied mainly to sustain its jurisdiction. *It must not be understood from this that we dissent from the conclusions of that court in reference to the scope of the Act, but simply that we prefer to rest our judgment on the broader ground which has been discussed in this opinion, believing it of importance that the principles underlying it should be fully stated and affirmed.*"

The reaction of the public to this decision is perhaps best shown in James Whitcombe Riley's famous poem, "Woodstock."

true of the Congressional debates: While the sponsors of the legislation strove to keep the debates on the two sections separate, the subjects were too intimately related for the attempt to be successful.

Unlike the debates with respect to labor when the Sherman Act was before Congress, which were very brief, the debates in Congress on the labor provisions of the Clayton Act were very protracted and were accompanied by heated discussion in the public press and general public agitation. From the moment of the introduction of the original bill in the House to its final passage by the Senate on September 2, 1914, its course through Congress was watched by the country with the greatest interest. Numerous newspaper editorials and magazine articles were devoted to its discussion; and innumerable letters and telegrams from individuals and groups poured in upon members of Congress advocating its passage or protesting against it. When it was finally passed, Congressional leaders in both Houses took occasion to call attention to the great event, and high encomiums were showered upon the Congress and its handiwork. These were echoed in the labor press which referred to this legislation as Labor's "Magna Charta" and "Bill of Rights". A typical example was a long article by Mr. Samuel Gompers, President of the American Federation of Labor, in the October, 1914 issue of the *American Federationist*.

But when the first case was decided under this Act by the United States Supreme Court, that august Tribunal solemnly declared that the Clayton Act meant nothing and had introduced no change whatever into the law.⁵ In the famous *Duplex* case,⁶ Mr. Justice Pitney, speaking for the majority of the Supreme Court, said:

5. It should be noted, however, that the Supreme Court was not the first to express that opinion. In the heated discussions of the subject, which did not abate for a considerable time after the adoption of the Clayton Act, except that it was transferred in the main from the daily press and "popular" magazines to the more serious academic publications, there were some assertions to the effect that the Act did not introduce any serious changes into the law. But these opinions were confined, in the main, to opponents of the Law who, naturally would be expected to minimize its effect. Cf. Davenport, *An Analysis of the Labor Sections of the Clayton Anti-Trust Bill*, 80 CENT. L. J. 146.

6. *Duplex Printing Press Co. v. Deering*, 254 U. S. 443 (1921).

"As to Section 6, it seems to us its principal importance in this discussion is for what it does *not* (italics in original) authorize, and for the limit it sets to the immunity conferred." ^{6a}

Mr. Justice Pitney then proceeded to consider at some length the provisions of Section 20,—coming to the conclusion that that section merely enacted the best equity practice as it existed prior to the enactment of the Clayton Act. And in a book which appeared in 1925, the learned author, a professor at Princeton University, expressed the opinion that no one but a fool could have imagined that the Clayton Act could have had any other meaning except that of perpetuating existing law, at least in so far as immunity under the anti-trust laws was concerned,—even though he put the thought in somewhat more parliamentary language.⁷

For reasons which will appear later in the article, the minority of the Supreme Court did not enter upon a discussion of the significance of Section 6 of the Clayton Act in the *Duplex* case. But in the *Bedford Cut Stone* case ⁸ a sharp difference of opinion developed between the members of the Court on this subject. Mr. Justice Stone, although voting with the majority, found it necessary to write a concurring opinion in which he said:

"As an original proposition, I should have doubted whether the Sherman Act prohibited a labor union from peaceably refusing to work upon material produced by nonunion labor or by a rival union, even though interstate commerce were affected. In the light of the policy adopted by Congress in the Clayton Act, with respect to organized labor, and in the light of *Standard Oil Co. v. United States*, 221 U. S. 106, 178-180, I should not have thought that such action as is now complained of was to be regarded as an unreasonable and therefore prohibited restraint of trade. But in *Duplex Printing Press Co. v. Deering*, 254 U. S. 443, these views were rejected by a majority of the court and a decree was authorized restraining in precise terms any agreement not to work or refusal to work, such as is involved here. Whatever additional facts there may have been in that case, the decree enjoined the defendants from using 'even persuasion with the object or having the effect of causing any person or persons

6a. *Id.* at 469.

7. See (Alpheus T.) MASON, *ORGANIZED LABOR AND THE LAW* (1925) 168-202.

8. *Bedford Cut Stone v. Journeymen*, 274 U. S. 37 (1927).

to decline employment, cease employment, or not seek employment, or to refrain from work or cease working under any person, firm or corporation being a purchaser or prospective purchaser of any printing press or presses from complainant.' These views, which I should not have hesitated to apply here, have now been rejected again largely on the authority of the Duplex Printing Press Case. For that reason alone, I concur with the majority."^{8a}

The decision of the United States Supreme Court in the *Apex* case, was a complete reversal of the decisions in the *Duplex* case and the cases which followed it. The opinion in the *Apex* case establishes not only that the Clayton Act effected great changes in the law of the subject, but that those changes were revolutionary in character. Unfortunately, it fails to state the exact extent of the revolution. On the one hand, we are told in the opinion that the legislative history of the Clayton Act shows that Congress did not intend, by that enactment, to immunize all labor union activities, and it points with approval to two of its own decisions in which the Sherman Act had been applied to labor unions or their officials.⁹ But in *deciding* the case in hand, the Court construes the Act in a manner which clearly indicates that the line of demarcation between the cases in which the federal anti-trust laws may be applied to labor unions and those cases in which those laws may not be applied, must be drawn close to the two cases which the Court mentioned by name in its opinion as properly coming within the purview of the anti-trust laws. And when that is done, it is our belief that the line of demarcation will be found in the distinction which we have made in a previous article,—that between *Labor Unions* and *Labor Disputes*.¹⁰

It is the purpose of the following study to prove that that line of demarcation is in consonance with the intentions of Congress in passing the Clayton Act; to account for the curious judicial history of that Act; and to show that it would greatly clarify the law of our subject if the courts were to declare formally that line

8a. *Id.* at 55.

9. The two cases cited by the Court in this connection are *United States v. Brims*, 272 U. S. 549 (1926) and *Local 167 v. United States*, 291 U. S. 293 (1934).

10. See Boudin, *The Sherman Act and Labor Disputes* (1939) 39 COL. L. REV. 1283 *et seq.*; (1940) 40 COL. L. REV. 14 *et seq.*

to be the line of demarcation between "labor" cases which do come within the purview of the federal anti-trust laws and those which do not.

II

Schizophrenia of the Sherman Act

In order to be in a position to fully appreciate the import of the Congressional debates on the Clayton Act, we must first examine the judicial history of the Sherman Act up to that point. Such an examination will disclose a complicated case of schizophrenia in the character of the Act as construed by the courts, a case of split or dual personality, depending on whether it was being applied to combinations of capital or labor organizations. We shall, in fact, find a complete case of schizophrenia: A split personality within a split personality. But the latter applies only to labor cases,—the cases dealing with combinations of capital showing a fairly consistent approach to the problem.

When dealing with combinations of capital the Sherman Act was uniformly treated as an *economic* act. It was conceived to be an economic measure, having a definite economic object or purpose, and therefore depending not in its application upon the means employed by the parties to the "combination" or "conspiracy," but solely upon the effects of their conduct on trade and commerce. The legality or illegality of the combination was, therefore, in these cases, made wholly dependent upon the *objects* of the combination. And the object supposed to come within the ban of the Act was the *regulation* of commerce by private persons, by prescribing the terms and conditions upon which commerce might be engaged in. Nor did it make any difference, in the application of the Act to combinations of capital, whether the rules and regulations prescribed were voluntarily adhered to by all parties to the combination, or were imposed by some upon the others. In either event, commerce was being regulated by the combination, and the combination was therefore illegal under the statute.

But this unity of character of the Act completely disappeared when applied to labor organizations or labor disputes. In every case where the Sherman Act was applied to labor organizations there appeared a curious indecision as to the real character of the Act, and therefore an attempt to give it a dual character inherently

inconsistent in itself and utterly at variance with the character of the Act when applied to combinations of capital. The difference between the cases under the Sherman Act dealing with combinations of capital on the one hand, and those dealing with labor organizations on the other, is marked in many other respects. We have elsewhere pointed out the marked difference in the quality of the arguments presented to the courts on behalf of the defendants in the two classes of cases respectively.¹¹ But there is a no less marked difference in the quality of the opinions delivered by the courts. And whatever may have been the reason for the former, there can be no question but that the cause of the latter was an apparent inability of the courts to make up their mind as to the character of the Sherman Act,—that is to say, whether it was an economic measure dealing with certain economic phenomena and intended to accomplish certain economic results, or a penal statute designed to punish certain offenses committed by individuals or organizations.

All of this appears in the first brace of cases under the Sherman Act, which were dealt with by the courts almost simultaneously, one of them dealing with combinations of capital and the other with a labor dispute. These two cases were: *U. S. v. Patterson*,¹² a prosecution against the cash register trust, and *U. S. v. Workingmen's Amalgamated Council*, already referred to. To begin with, the *Patterson* case was argued most learnedly on behalf of the defendants by an array of distinguished counsel, and the report of the arguments of counsel on both sides run to some thirty-five pages in the official report of the case,—preceding a rather succinct opinion by the Court occupying a couple of pages. In the labor case the arguments of counsel are not reported at all, while the opinion of the Court occupies some five and one-half pages. But the most significant difference between the two cases is in the *quality* of the respective opinions. In the *Cash Register* case there is a careful analysis of the statute, giving it what might be called a monistic interpretation of an economic measure designed to accomplish a single purpose,—*the prevention of monopoly*.¹³ In contrast, the opinion in the labor case does not discuss

11. See Boudin, *supra* at 1293.

12. 55 Fed. 605 (1893).

13. The opinion in that case, given by Judge Putnam of the District Court

the character of the Act at all; and in the single question discussed, that of *the applicability* of the statute to a labor dispute, the Court clearly could not make up its mind as to the real ground of applicability. It therefore vacillates between the *assertion* that there is no difference in the applicability of the Act between cases dealing with combinations of capital and those dealing with combinations of labor, and the *decision* which seems to make the applicability of the Act to labor combinations depend entirely on the means used in accomplishing the object or purpose of the "conspiracy."

The same vacillation appears in all the later cases, including the *Danbury Hatters'* case, decided by the Supreme Court,¹⁴ which gave impetus to the agitation which resulted in the adoption of the Clayton Act.¹⁵ The question before the Court in that case was the single one of the applicability of the Sherman Act to labor unions or labor disputes,—the case being an action by a manufacturer under Section 7 of the Act for triple damages caused by alleged secondary boycott, itself the result of a strike, which prevented the sale in interstate commerce of his product. The Court began by apparently laying down the flat and comprehensive rule that under the Sherman Act there is no difference whatever in the treatment of combinations of capital and combinations of labor,—that combinations of workingmen were to be treated like combinations of businessmen according to the *objects* sought to be accomplished by the combination, and that the *monopolization* of labor was interdicted by the Sherman Act in the same manner

of Massachusetts, is discussed at considerable length in the article already referred to, *supra* note 10, to which we refer those of our readers who may be specially interested in this phase of the subject.

14. *Loewe v. Lawlor*, 208 U. S. 274 (1908).

15. The only judge, as far as we can recall, who did not suffer from the general malaise which seemed to afflict all other federal judges whenever they dealt with the problem of the applicability of the Sherman Act to labor was, curiously enough, the much maligned Judge Dayton, who wrote one of the worst opinions, from the point of view of labor, on this subject in the famous *Hitchman Coal Co.* case discussed further below in the text. He, too, made the character of the *means* used a ground of decision, but he did not vacillate between the grounds of his decision, he merely had two strings to his bow. But he made it quite clear, as will appear from the detailed discussion of his decisions further below in the text, that the applicability of the Sherman Act to labor organizations *did not depend* on the means used by them in the accomplishment of their objects.

as the monopoly of any other article of trade or commerce. But before it closed its opinion, the Supreme Court switched from a discussion of *objects* sought to be accomplished to a discussion of the *means* used, which were apparently found to be reprehensible in themselves. In doing so, it did not, however, state, as did Judge Billings in the *Workingmen's Amalgamated Council* case, that the use of reprehensible means was a *condition* of the application. But neither did it say that the use of reprehensible means was an *additional* ground of the applicability of the statute. And from the character of the statute as construed by the decisions of the Supreme Court itself in the cases dealing with combinations of capital it was clear that the making of the means used an additional ground of applicability would destroy the unity of that character. All of which was very confusing, to say the least.

In view of the importance of this decision in the agitation for exemption which followed it, the frequent reference to it in the Congressional debates on the Clayton Act, and the decisive character which it had upon Judge Dayton's decision in the *Hitchman* case, which also played an important role in the Congressional debates, it is necessary to consider it in some detail. The opinion, delivered by Chief Justice Fuller on behalf of a unanimous court, commences with the categorical announcement that—

"In our opinion, *the combination* described in the declaration is a combination 'in restraint of trade or commerce among the several states,' in the sense in which those words are used in the act, and the action can be maintained accordingly."

The Court then adds—

"And that conclusion rests on many judgments of this Court, to the effect that the act prohibits *any combination whatever* to secure action which essentially obstructs the free flow of commerce between the states, or *restricts*, in that regard, the liberty of a trader to engage in business."^{15a}

(Italics supplied throughout unless otherwise stated.)

If this means anything at all, it must mean that a labor case is in no way different from any other case under the Sherman Act, and that any action on the part of a labor union which restricts

15a. *Id.* at 292-293.

the liberty of a trader engaged in interstate commerce is prohibited and punishable under that Act. And the cases which the Court proceeded to cite emphasize this point. Three cases are particularly referred to in the further discussion as showing the kind of combination which is prohibited by the Act: The *Addyston Pipe* case, the *Montague* case, and the *Swift* case.¹⁶ In the first of these cases the Court had said, in a passage now quoted with approval by Chief Justice Fuller:

“and when Congress has enacted a statute such as the one in question, any agreement or combination which directly operates not alone upon the manufacturer, but upon the sale, transportation, and delivery of an article of interstate commerce, by preventing or restricting its sale, etc., thereby *regulates* interstate commerce.”^{16a}

In other words, the essence of the offense is not the means used but the effect upon commerce. This basic position was reiterated by the Supreme Court in the second case referred to,—Mr. Justice Peckham speaking for the Court in both cases. In speaking of the decision in that case, Chief Justice Fuller said:

“Mr. Justice Peckham speaking for the court said, concerning the agreement, that it ‘restrained trade, *for it narrowed the market* for the sale of tiles in California from the manufacturers and dealers there and in other states, so that they could only be sold to the members of the association, *and it enhanced prices to the nonmember.*’ ”^{16b}

And in speaking of the third of the cases cited, Chief Justice Fuller quotes a passage from the opinion in that case, delivered by Mr. Justice Holmes, which concludes with the following sentences:

“It is suggested that the several acts charged are lawful in that intent can make no difference. But they are bound together as parts of a single *plan*. The plan may make the parts unlawful.”^{16c}

16. *Addyston Pipe and Steel Co. v. U. S.*, 175 U. S. 211 (1899); *W. W. Montague & Co. v. Lowry*, 193 U. S. 38 (1904); *Swift and Co. v. U. S.*, 196 U. S. 375 (1905).

16a. See *Loewe v. Lawlor*, 208 U. S. 274, 300 (1908) (quoting, *Addyston Pipe & Steel Co.*, 175 U. S. 211, 242 (1899)).

16b. *Ibid.* (quoting, *Montague & Co. v. Lowry*, 193 U. S. 38, 45 (1904)).

16c. *Id.* at 299 (quoting, *Swift & Co. v. U. S.*, 196 U. S. 375, 398 (1905)).

And in order to leave no doubt as to the rule which the Court now thought was deducible from its earlier decisions, Chief Justice Fuller made the categorical statement that—

"The object and intention of the combination determined its legality."

This, as a comment on the *Hopkins* and *Anderson* cases,¹⁷ and in order to show the point of difference between those two cases, in which the combinations were held lawful under the Sherman Act, and the combinations in the three cases first referred to, in which the combinations were held unlawful.

All of the cases referred to thus far were cases in which combinations of capital were involved. The Court now turns to the two famous labor cases referred to by us above. In speaking of the *Workingmen's Amalgamated Council* case, the Court refers to a passage in the bill filed by the United States in that case, which the Court apparently considered as containing the gist of the offense. In this passage the United States averred the existence of—

"a gigantic and wide spread combination of the members of a multitude of separate organizations for the purpose of restraining the commerce among the several states and with foreign countries."

And in speaking of the *Debs* case, the Court referred to the fact that the bill filed by the United States in that case, charged the officers of the labor union, who were made defendants, with entering into a combination, the *purpose and intention* of which was—

"to secure unto themselves the entire control of the interstate, industrial, and commercial business in which the population of the city of Chicago and of the other communities along the lines of road of said railroads are engaged with each other, and to restrain any and all other persons from any independent control or management of such interstate, industrial, or commercial enterprises, save according to the will and with the consent of the defendants."

So far the Court had assimilated the decisions in the labor cases

17. *Hopkins v. U. S.*, 171 U. S. 578 (1898); *Anderson v. U. S.*, 171 U. S. 604 (1898).

to the principles announced in the decisions in the cases relating to combinations of capital. But the Court did not stop at that point. In discussing the *Workingmen's Amalgamated Council* case, after quoting the passage (reproduced by us above) from the bill of complaint which apparently contained the gist of the offense under the statute, the Court proceeded to quote from Mr. Justice Billings' opinion the following statement:

"It is the successful effort of the combination of the defendants to *intimidate* and *over-awe* others who were at work in conducting or carrying on the commerce of the country, *in which the court finds their error and their violation of the Statute.*" ^{17a}

This sounded a decidedly discordant note. Nor was this a mere slip of the pen, for the passage just quoted was a separate and distinct quotation by Chief Justice Fuller and not a part of a longer quotation in which it might have been considered as having been included by inadvertence, or in order to complete the trend of thought of the author quoted from. It is clear from the manner in which this passage is quoted by Chief Justice Fuller that it was intended to have *meaning*. And that meaning could only be to put combinations of labor in a different category, separate and apart from cases involving combinations of capital. But neither intimation of an intention to so differentiate nor any ground for the differentiation is given. Indeed, such differentiation would be in flat contradiction to the *ground of the decision* as announced in the beginning of the opinion.

The confusion thus created is worse confounded when the Court turns from the discussion of other cases, to a consideration of the facts in the case at bar as alleged in the complaint. Here the Court proceeds to refer not only to the allegations with respect to the *object* of the combination charged, but also to those which refer to the *means* whereby those objects were to be accomplished. And it does so at such inordinate length that the reader of the opinion cannot help but be impressed that *the character of the means*—which were assumed to be illegal *per se*,—were decisive of the case as the Court conceived it.¹⁸

17a. See *Loewe v. Lawlor*, 208 U. S. 274, 302 (1908) (*quoting*, U. S. v. *Workmen's Amalgamated Council*, 54 Fed. 994, 1000 (1893)).

18. It is important to note in this connection that the entire complaint appears

The long quotation with respect to the means employed to accomplish the purposes of the conspiracy is preceded by a statement with respect to its success, which harked back to the problem of control. Still referring to the allegations of the complaint (which is the only thing that could be considered by the Court), the Court said that the complaint alleged—

“That the conspiracy or combination was so far progressed that out of eighty-two manufacturers of this country engaged in the production of fur hats, seventy had accepted the terms and acceded to the demand that the shop should be conducted in accordance, so far as conditions of employment were concerned, with the will of the American Federation of Labor; * * *” 18a

This case could therefore be read,—and the debates in Congress show that it was read—in two different ways. On the one hand, it could be said to lay down the unqualified rule that labor organizations must be treated in all respects, insofar as the Sherman Act was concerned, like combinations of capital; and that labor organizations were therefore no more permitted to monopolize the labor market than were combinations of capitalists permitted to monopolize the market in commodities. Labor organizations were no more permitted to prescribe the *rules* under which work should be performed than organizations of capitalists were permitted to prescribe the rules under which commodities could be dealt in. A labor organization which attempted to do either was therefore an illegal combination under the Sherman Act, irrespective of the

in the margin of the opinion. Notwithstanding this, the Court incorporated in the body of the opinion an excerpt of over a thousand words relating mostly to the means used to accomplish the object of the conspiracy charged, charging not only a secondary boycott, which was then considered illegal, but also malicious injury to the business of the plaintiff—using the word “malicious” in its original sense of an injury directed against the plaintiff personally, which clearly made it illegal at common law—false and slanderous statements, threats and intimidation, etc. In connection with the point of malice directed against the plaintiff personally, the allegation of the complaint quoted in the opinion is as follows: “To threaten with a boycott those customers who should buy any goods whatsoever, even though union made, of such boycotted dealers, and at the same time to notify such wholesalers *that they were at liberty to deal in the hats of any other non-union manufacturer* of similar quality to those made by the plaintiffs, but must not deal in the hats made by the plaintiff under threats of such boycotting.”

18a. See *Loewe v. Lawlor*, 208 U. S. 274, 305 (1908).

means used. This point of view was supported not only by the entire discussion with respect to the meaning of the Act and its applicability to labor unions,¹⁹ but also by the fact that in referring to the means used in accomplishing the purpose of the "conspiracy" the strike is treated on a par with the boycott.²⁰ On the other hand, it could well be argued that, whatever may be thought of the logic of the *opinion*, the *decision* was made in a case in which the "conspirators" had used illegal means in accomplishing their purpose, and that it was apparently intended to be limited to such a case. That that made hash of the character of the Sherman Act would make no difference to the actual state of the law insofar as labor was concerned; it would merely make somewhat more difficult to find the formula which would unmistakably embody the difference between the two classes of cases under the Act.

The *Hitchman* case was only second in importance in this connection to the *Danbury Hatters'* case; and in some respects its importance transcended even that case, although it was not, strictly speaking, a case under the Sherman Act. The long litigation in the *Hitchman* case, spanning a ten year period from 1907 to 1917, involved the basic problem of the right of labor unions to force the unionization of industry and the closed shop by means of the strike. No problem of violence was involved; and the only complicating factor was the claim that *persuasion* was used to induce a breach of an existing contract. But although the latter element loomed large in both the original decision of Judge Dayton in the District Court and in the ultimate decision of the case in the Su-

19. In addition to the passages already quoted, is the following quotation by the Court from the opinion of Judge Billings in the *Danbury Hatters' case*: "They (*i. e.*, Congress) made the interdiction include combinations of labor as well as of capital; in fact all combinations in restraint of commerce, *without reference to the character of the persons who entered into them.*"

20. The quotation commences as follows: "To cause, by means of threats and coercion, and without warning or information to the plaintiffs, the concerted and simultaneous withdrawal of all the makers and finishers then working for them, who were not members of the said combination, the United Hatters of North America, as well as those who were such members, and thereby cripple the operation of the plaintiffs' factory." Not only is there no distinction drawn by the Court between the allegations as to strike and those as to boycott, but apparently no distinction was perceived between compelling non-members to strike by alleged threats and intimidation, and a strike by the union members themselves.

preme Court,²¹ it may be disregarded here for reasons which will become apparent in the course of this discussion.

Claiming that the defendant unions and the union officials had entered into a "conspiracy to *illegally* unionize its mine" without its consent, the Hitchman Coal Company filed a bill of complaint in the United States District Court for the Northern District of West Virginia praying for an injunction to enjoin that "conspiracy." The suit was one at common law, and the jurisdiction of the federal court was based on diversity of citizenship. After long preliminary skirmishes the action came to trial, and resulted in a sweeping decree in favor of the company. This decree was made by Judge Dayton in January, 1909. Although, as stated, the suit was one at common law, the Sherman Act, and particularly its interpretation by the Supreme Court in the *Danbury Hatters'* case, played an important role in Judge Dayton's decision. In this connection it is well to remember, that although before the enactment of the Clayton Act private persons could not bring an injunction suit under the Sherman Act, the Sherman Act could nevertheless be made, and frequently *was* made, a ground for injunctive relief in suits by private parties, on the ground that equity courts had a general power to prevent "irreparable" damage by illegal action. This alleged power of the courts to prevent by injunction the commission of threatened injury by means of an illegal act, was buttressed in these cases by the assertion that the Sherman Act merely prohibited by federal statute what was illegal anyway at common law; and the decisions of the federal courts in interpreting the Sherman Act were used as proof of what was the common law of the subject.

This is what Judge Dayton had done in the *Hitchman* case, except insofar as he had grounded his decision on the alleged inducement to breach of contract. Basing himself on the opinion of the Supreme Court in the *Danbury Hatters'* case with respect to the general meaning of the Sherman Act, and on its decision that the Sherman Act applied to combinations of labor in exactly the same way as it did to combinations of capital, he came to the unassailable conclusion that the United Mine Workers was an illegal combination. *His judgment therefore declared it to be such.*

21. *Hitchman Coal and Coke Co. v. Mitchell*, 245 U. S. 229 (1917).

He could not, of course, dissolve it under the Sherman Act, since the case was a suit by a private party rather than a suit under the Sherman Act. But he did what the prevailing legal theory permitted him to do in the circumstances: *He enjoined the union from further attempts at unionizing the plaintiff's miners.* The result was that although the *existence* of the union was untouched, its *operations* were made impossible. It also made it possible for the Attorney General of the United States to formally dissolve the union on the basis of this decision. Indeed, it required him to do so if he did his duty on the premises in accordance with his oath of office. For Judge Dayton's decision was not based merely on what the union did in this particular case, but upon the constitution of the union which provided for such course of action as its normal function.²²

As already stated, Judge Dayton's position was unassailable insofar as he based himself on the general legal proposition as announced in the *Danbury Hatters'* case, if the discussion of means in that case be disregarded as surplusage, and this could very well be done in view of the categorical announcement as to the law of the case which had preceded it. In this connection it is important to note another passage in the opinion of the Supreme Court in

22. Judge Dayton's decision on this point is thus summarized in the *Reporter's* head-note:

"The United Mine Workers of America is an unlawful organization because of its principles as set forth in its constitutions, obligations of its members, and rules which (1) require its members to surrender their individual freedom of action; (2) seek to require in practical effect all mine workers to become members, whether desirous of doing so or not; (3) to control and restrict, if not to destroy, the right of the mine owners to contract with his employees independent of the organization; (4) to exclude his right to employ nonunion labor if he desires; (5) to limit his right to discharge, in the absence of contract, whom he pleases, when he pleases, and for any cause or reason that to him seems proper; and (6) assume the right through its officers to control the mine owner's business by shutting down his mine, and calling out his men upon indefinite strike in obedience to their obligation to the union, whether the men desire to quit work or not, whenever such officers deem it to the best interests of the union and regardless of his rights or interests, or the loss, direct or indirect, which he may sustain. It is also unlawful because of its procedure and practices, in that (1) it seeks to create a *monopoly of mine labor* such as to enable it as an organization to control the coal mining business of the country; and (2) has by express contract joined in a combination and conspiracy with a body of rival operators, resident in other states, to control, restrain, and to an extent at least destroy the coal trade of West Virginia, and by the admission of its officers has spent 14 years' time and hundreds of thousands of dollars in an effort to accomplish such purpose."

the *Danbury Hatters'* case, which was part of the discussion of the general legal principle applicable to labor unions *which made them come within the purview of the Sherman Act*. At the very outset of his opinion, after stating that the question before the Court was whether, *upon the facts averred in the bill of complaint*, the action could be maintained, Chief Justice Fuller said:

"The combination charged falls within the class of restraints of trade aimed at compelling third parties and strangers *involuntarily not to engage in the course of trade except on conditions that the combination imposes.*" ^{22a}

Such a *combination*, he proceeded to say, was undoubtedly illegal at common law, and the only question worth considering was whether or not it was included within the prohibitions of the Sherman Act because it involved laborers instead of capitalists. As we have seen, the result of the consideration of the latter question was the conclusion that there was no such exemption or exception.

Judge Dayton's case therefore seemed to be perfect, *and that was the last judicial decision on the subject at the time the bill which became the Clayton Act was introduced into Congress*. After the introduction of the Clayton Bill, but before the debate on the bill got seriously under way, the Circuit Court of Appeals reversed Judge Dayton's decision. But in doing so it did not go into the question of the meaning of the Sherman Act, or of the import of the decision of the Supreme Court in the *Danbury Hatters'* case, but it based its decision entirely on a disagreement with Judge Dayton as to what was the common law of the *State of West Virginia*.²³ This left the law very much up in the air.²⁴ And

^{22a}. See *Loewe v. Lawlor*, 208 U. S. 274, 294 (1908).

²³. The opinion of the Circuit Court of Appeals as reported in 214 Fed. 685, states that the decision was handed down on May 28, 1914. In the opinion of the Supreme Court in 245 U. S. it is stated that the decision was handed down on June 1, 1914. The latter is the date when debate on the Clayton

²⁴. In the Congressional debates much was made of the Circuit Court of Appeals decision reversing Judge Dayton's by those who thought that labor enjoyed full freedom of action and that therefore further exemptions, either from the anti-trust laws or from the power of the courts to issue injunctions, were unnecessary. But no reference to the opinion in the case was made, and those who referred to it confessed that they hadn't read it.

it may be of interest to note here that in the end Judge Dayton's view of the common law of West Virginia turned out to be right and that of the Circuit Court of Appeals wrong, so the Supreme Court reversed the decision of the Circuit Court of Appeals and reinstated that of Judge Dayton.²⁵

III

What All the Shooting Was About

After the Supreme Court had cavalierly disposed of Section 6 of the Clayton Act in the *Duplex* case by saying that it was chiefly remarkable for what it does not contain, and in justification thereof, Professor Alpheus T. Mason wrote:

"From the foregoing examination (of the Congressional debates), not only is it clear that the effect of the language employed in Section 6 is merely to declare certain lawful acts of labor combinations to be permissible, leaving the plain implication that these organizations are still subject to the terms of the Sherman Law if they violate any of its provisions, but it is equally clear that if labor leaders had observed the proceedings of Congress, while the Clayton Bill was under discussion, in even the most casual manner, they would never have extolled the virtues of Section 6 to the extent which they did.

"The fact is that the Congressional debates afford ample evidence to support the conclusion that Congress could never have passed a bill containing provisions meriting the encomiums which Mr. Gompers bestowed upon Section 6. This sec-

Act commenced in the House. In connection with the reference in the text to the "common law of West Virginia," it should be noted that, while theoretically each state has its own common law, and formally the decision in all three courts was based on *the common law of West Virginia*, the conclusion arrived at in each instance was based on a general discussion of the common law and a broad review of the decisions elsewhere in the United States, and even in England, except that as to the latter reliance was placed upon them only by Judge Dayton and the Supreme Court—the Circuit Court of Appeals holding that English doctrine on the subject never became part of the common law of the United States.

25. It should also be noted that in the Congressional debates the point was made—again by those who thought that labor was sufficiently protected under existing law—that Judge Dayton's decision was based on the common law of *West Virginia*, as if the common law of West Virginia as expounded by him were peculiar to that State. This, as already pointed out, is entirely incorrect.

tion was, in truth, a 'Magna Charta' in the theoretical sense of that phrase—that is, it was a recognition and an affirmation of existing rights rather than an extension or enlargement of those rights; but it was never the 'Magna Charta' which Mr. Gompers conceived it to be. Nor did Congress intend that it should be."²⁶

If these statements be true, we are, indeed, face to face with one of the most remarkable of historical events. For more than twenty years labor had been clamoring for relief from what it had claimed was a perversion of the law by the application of the Sherman Act to labor disputes contrary to the intention of Congress in enacting the same.²⁷ The agitation had so increased after the decision of the Supreme Court in the *Danbury Hatters'* case, that the Democratic Party felt itself impelled to take up the issue. It accordingly included the following "plank" in its 1908 national platform:

"The expanding organization of industry makes it essential that there should be no abridgment of the right of wage earners and producers to organize for the protection of wages and the improvement of labor conditions, to the end that such labor organizations and their members should not be regarded as illegal combinations in restraint of trade."

Nor did the agitation cease after the presidential campaign of

26. MASON, ORGANIZED LABOR AND THE LAW (1925) 181-182.

27. Nor was the contention that the Sherman Act was inapplicable to labor confined to "liberal" lawyers. So eminent a conservative lawyer as Mr. Richard Olney, Mr. Cleveland's Attorney General (and later his Secretary of State), criticized the application of the Sherman Act to labor in the *Workmen's Amalgamated Council* case, even though he did not refer to it by name. In his report as Attorney General of the United States for the year 1893, Mr. Olney said:

"It should, perhaps, be added, in this connection—as *strikingly illustrating the perversion of a law from the real purpose of its authors*—that in one case the combination of laborers known as a 'strike' was held to be within the prohibition of the statute, and that in another, rule 12 of the Brotherhood of Locomotive Engineers was declared to be in violation thereof. In the former case, in answer to the suggestion that the debates in Congress showed the statute had its origin in the evils of massed capital, the judge, while admitting the truth of the suggestion, said: 'The subject had so broadened in the minds of the legislators that the source of this evil was not regarded as material, and the evil in its entirety is dealt with. They made the interdiction include combinations of labor as well as of capital; in fact, all combinations in restraint of commerce, without reference to the character of the persons who enter into it.'" (Italics supplied.)

1908. On the contrary, it had greatly increased, as is evidenced by the fact that the same plank, in substantially the same language, was included in the 1912 national Democratic platform,²⁸ and several bills were introduced into Congress designed to exempt labor from the application of the Sherman Act, some of which actually passed the House of Representatives.²⁹ As to one

28. The plank in the Democratic platform of 1912 declared: "The expanding organization of industry makes it essential that there should be no abridgment of the right of the wage earners and producers to organize for the protection of wages and the improvement of labor conditions, to the end that such labor organizations and their members should not be regarded as illegal combinations in restraint of trade."

29. On June 2, 1900, the House of Representatives adopted as an amendment to an antitrust bill then pending before it, by a vote of 260 to 8, a proviso intended to enlarge the scope of the Sherman Act, reading as follows:

"Provided that nothing in this act shall be construed so as to apply to trade unions or other labor organizations, organized for the purpose of regulating wages, hours of labor, or other conditions under which labor is to be performed."

As so amended, the bill was passed by a vote of 274 to 1. The bill never became a law, however, as the Senate never took action upon it during that session and it died with the Fifty-sixth Congress.

In the Sixty-first Congress, the first Congress to be elected after the decision in the *Danbury Hatters'* case, Representative Hughes of New Jersey (later Senator Hughes of the debates on the Clayton Act) introduced a proviso into the section of the Sundry Civil Bill dealing with appropriations for the execution of antitrust laws reading as follows:

"Provided, however, that no part of this money shall be expended in the prosecution of an organization or individual for entering into combination or agreement having in view the increasing of wages, shortening of hours, or bettering the conditions of labor, or for any act done in furtherance thereof not in itself unlawful."

That proviso was adopted by the House of Representatives but was rejected by the Senate. After a deadlock in a conference committee, the House was finally induced, under threat of veto by President Taft, to withdraw the proviso by the small margin of 138 votes for withdrawal and 130 against.

In the Sixty-second Congress, Representative Hamill of New Jersey offered the same proviso as an amendment to the Sundry Civil Bill; and this time it was adopted by both the House of Representatives and the Senate. But on the last day of his term President Taft vetoed the bill because of this proviso. The House re-passed the bill over President Taft's veto by a vote of 364 to 48. The bill reached the Senate, however, too late for action in that Congress, and it never became a law.

The Sixty-third Congress—the same Congress that later adopted the Clayton Act—early in its career adopted the proviso as part of the General Appropriation Bill, and this time it became a law, with President Wilson's approval. This action of the Congress which later passed the Clayton Act is in itself proof of the Congressional intention to exempt labor unions from prosecution under the trust laws.

of these, the so-called Bartlett-Bacon Bill, which was the last bill before Congress prior to the Clayton Act, and which had actually passed the House of Representatives, there could not possibly be any doubt but that its purpose was to completely exempt labor from the operation of the Sherman Act.³⁰

In the face of all this, we are now asked to believe, first, that Congress in the Clayton Act did not intend to change the existing law but rather to affirm it. And, in addition, that labor was either stupid enough not to know what was going on or else negligent enough not to pay any attention to it. Indeed, we are asked to believe that labor leaders, after having neglected to observe the proceedings in Congress "in even the most casual manner" while the Clayton Bill was being debated in the two Houses for several months, then proceeded to bestow upon it the most extravagant encomiums, referring to it as the "Magna Charta of Labor."³¹ That sounds incredible; and, as we shall see further below, it is contrary to actual fact. But what made Mr. Mason say it, and quite a lot of people, including the Supreme Court of the United States, believe it? For Mr. Mason expressed a widespread opinion *after* the decision of the Supreme Court in the *Duplex* case. And some people at least expressed the opinion *before* that decision.

The mystery will not be cleared up entirely until we have fully examined both the judicial decisions bearing on the subject and the Congressional debates. At this point, however, it will profit us to discuss more fully Judge Dayton's decision in the *Hitchman*

30. The Bartlett-Bacon Bill was a bill intended to accomplish the combined purposes of exempting labor from the operation of the Sherman Act, and of placing upon the courts prohibitions with respect to the issuance of injunctions in labor disputes. Its first sentence, which was intended to exempt labor from the operation of the Sherman Act read: "It shall not be unlawful for persons employed or seeking employment to enter into any arrangements, agreements, or combinations with the view of lessening the hours of labor, or of increasing their wages, or of bettering their condition."

31. We may overlook here Professor Mason's opinion as to the character of the original "Magna Charta," which we believe to be of rather doubtful historical accuracy, but we may not overlook the fact that those who believed that the Clayton Act merely embodied "the best equity practice theretofore existing" had reference to Section 20, dealing with injunctions, which was in these discussions usually referred to as "labor's bill of rights," and not to Section 6, which was "labor's Magna Charta" in those discussions.

case, which seems to have had a fateful effect in the history of the Clayton Act, in legal as well as academic circles. The theory that the Clayton Act was intended to preserve the *status quo*, rather than to effect a revolution, was based on two assumptions: first, that Judge Dayton, in his opinion, had laid down what was in effect erroneous law; and, second, that Congress by the Clayton Act, intended to correct that error and to restore the law to the *status quo ante* his decision. In support of that theory is cited the fact that Mr. Gompers, in his statement before the Judiciary Committee of the House in the hearings on the Clayton Bill claimed that under recent decisions the *existence* of labor unions was in peril,—their existence being in fact at the sufferance of the Attorney General of the United States, who could at any time bring a suit to dissolve any union on the ground that it was an illegal combination under the Sherman Act. And the report of the Judiciary Committee is pointed to as evidence of the importance of this statement, since it is quoted in that report as proof of the necessity of the legislation. This theory overlooks the fact that Mr. Gompers had at those hearings said many more things than that the Dayton decision imperilled the existence of labor unions, and the even more important fact that the agitation for exemption of labor unions from the operation of the Sherman Act ante-dated the Dayton decision by some twenty years, and Congressional attempts at relief by a number of years.

It also overlooks a number of other things which make that theory utterly untenable. It overlooks, first of all, the rather important fact that even in its original form,—before the bill had been improved by several amendments, after long discussion of each,—the Clayton Bill did not only secure the *existence* of labor unions, but also their *operation*. It then overlooks the fact that Judge Dayton's conclusion imperilling the *existence* of labor unions was based on the nature of the *operations* of the labor union before him, which made the question of *operation* the crucial test of *existence*. To deal with *existence* without dealing with the problem of *operation*, would, therefore, not only have been a futile, but a most absurd proceeding. The absurdity of such a proceeding on the part of Congress becomes even more apparent when we consider the previous judicial history of the subject,—which also stamps as absurd the notion that Mr. Gompers and the

other labor leaders would have acquiesced in such a proceeding had Congress actually attempted it.^{31a}

In this connection we must bear in mind that although the use of the Sherman Act against labor was contemporaneous with its first application to trusts, there had never been any attempt to dissolve a labor union, while every proceeding against a combination of capital was one for its dissolution. Nor was this difference in the treatment of labor unions mere accident, based on some whim of the Attorney General who brought the particular proceedings. On the contrary, it was based on the general acceptance of the position of the labor union in our law. That position, *which assured its existence*, went back as far as the decision of the Supreme Judicial Court of Massachusetts, in *Commonwealth v. Hunt*,^{31b} in 1842. And as early as 1867, Chief Judge Daly, of the New York Court of Common Pleas, demonstrated in a very learned opinion that the then prevailing notion that labor unions as such were illegal under the common law was utterly erroneous.³² And while the latter notion has cropped up since then from time to time in our legal literature, it certainly never threatened the existence of labor unions as part of our common law. We must also bear in mind that by the time the Clayton Bill came before Congress it had been pretty definitely established that the Sherman Act only outlawed such restraints of trade as were illegal at common law; and that it was *our* common law that mattered and not some early condition of that law. That was the very heart of the Rule of Reason definitely established by the *Standard Oil* and *Tobacco* cases.³³ And the condition of *our* common law was such that

31a. Professor Mason's charge that the labor leaders did not carefully watch the proceedings in Congress while the Clayton Bill was under consideration is utterly gratuitous. As will be shown further below, Mr. Gompers and his associate labor leaders watched carefully over these proceedings, and that watchfulness resulted in the so-called Webb amendment, which was perfectly satisfactory to them and their counsel. Indeed, it was the common belief that it was their counsel, Alden B. Parker, former Chief Judge of the New York Court of Appeals and author of the opinion in the celebrated case of *Cumming v. National Protective Association*, 170 N. Y. 315, 63 N. E. 365 (1902), was the author of that amendment.

31b. 4 Metc. III (Mass. 1842).

32. The Master Stevedores' Association v. Walsh, 2 Daly 1 (N. Y. 1867).

33. *Standard Oil Co. v. U. S.*, 221 U. S. 1 (1911); *U. S. v. American Tobacco Co.*, 221 U. S. 106 (1911).

whatever the *decision* every *opinion* in a case involving a labor dispute opened with an encomium upon labor unions, or at the very least with an affirmation of their legality and general usefulness.³⁴

Under these circumstances, to worry about the mere *existence* of labor unions because of the opinion expressed by one district judge, would have been a piece of incredible stupidity, for which neither Mr. Gompers nor any other labor leader would have been guilty. If there had ever been any doubt about it as far as the federal courts were concerned, such doubts were completely dispelled by the statement of the United States Supreme Court in the *Buck's Stove* case, in which both Mr. Gompers and Mr. Mitchell were personally defendants, which had been decided since the *Danbury Hatters'* case. In that the Supreme Court said:

"The law, therefore, recognizes the right of workingmen to unite and to invite others to join their ranks, thereby making available the strength, influence, and power that come from such association."^{34a}

But as a matter of fact Judge Dayton never said that labor unions *as such* were illegal combinations under the Sherman Act. In fact, he was careful to point out the contrary.³⁵ There was,

34. So in the very first of these cases, the *Workingmen's Amalgamated Council* case, Judge Billings said, at p. 99: "The defendants argue that the corporations of the various labor associations made defendants are in their origin and purposes innocent and lawful. *I believe that to be true.*" And in the well-known case of *American Steel Foundries Co. v. Tri-City Central Trades Council*, 257 U. S. 184 (1921), one of the strong anti-labor decisions of the Supreme Court, Chief Justice Taft, in delivering the opinion of the Court, said on page 209:

"Labor unions are recognized by the Clayton Act as legal when instituted for mutual help and lawfully carrying out their legitimate objects. *They have long been thus recognized by the courts. They were organized out of the necessity of the situation.* A single employee was helpless in dealing with an employer. He was dependent ordinarily on his daily wage for the maintenance of himself and family. If the employer refused to pay him the wages that he thought fair, he was nevertheless unable to leave the employ and to resist arbitrary and unfair treatment. *Union was essential to give laborers opportunity to deal on equality with their employer.* * * * The right to combine for such a lawful purpose has, in many years, not been denied in any court."

34a. See *Gompers v. Buck's Stove & Range Co.*, 221 U. S. 418, 439 (1911).

35. Judge Dayton begins the section of his opinion in which he attempts to demonstrate the illegality of the United Mine Workers by the following statement: "All unions organized for lawful purposes, and striving to achieve

therefore, not the slightest reason either for Mr. Gompers or for Congress to worry about the *existence* of labor unions, on account of anything that Judge Dayton said, even if that had been the only or most authoritative opinion on the subject. What Judge Dayton said was that certain *activities* (i. e., *operations*) of the United Mine Workers were violations of both the common law and the Sherman Act. And Judge Dayton's decision and Mr. Gompers' worries were both based on the fact that those *activities* were of the essence of labor union operations. Judge Dayton, because of his views as to the legal character of these *activities*, concluded that the United Mine Workers was an illegal organization under the Sherman Act, since these activities were not only of the essence of the Union's operations but were embodied in its constitution. But Judge Dayton's views were those of the Supreme Court in the *Danbury Hatters'* case. And the activities of the United Mine Workers were no different from those of other labor unions. Neither of these decisions threatened the *existence* of labor unions. *But both alike made that existence of little, if any, value to the labor movement.*

That the operations of the United Mine Workers which Judge Dayton found to be illegal under the Sherman Act were the usual operations of a labor union was stated by Mr. Justice Brandeis in his dissenting opinion when the *Hitchman* case finally came before the Supreme Court. In that opinion Mr. Justice Brandeis said:

"The United Mine Workers of America does not appear to differ essentially in character and purpose from other international unions which, like it, are affiliated with the American Federation of Labor." ^{35a}

It is this that made Judge Dayton's opinion both important and dangerous. And it is this with which Congress was dealing in the Clayton Act rather than a question of the existence of labor unions as such. In other words, the problem with which Congress was concerned in the Clayton Bill was the problem which had been agitated all along since the *Workingmen's Amalgamated*

those purposes by lawful means and procedure, are entitled to the protection of the law to the fullest extent."

35a. *Hitchman Coal Co. v. Mitchell*, 245 U. S. 229, 267 (1917).

Council case, way back in 1893,—namely, the relation of the Sherman Act to the *operations* of labor unions.

Furthermore, in order to overcome the effect of Judge Dayton's decision in the *Hitchman* case, it was necessary for Congress to reverse the decision of the Supreme Court in the *Danbury Hatters'* case. We have already said that Judge Dayton based his decision on the decision and opinion of the Supreme Court in the *Danbury Hatters'* case. And we have suggested that Judge Dayton's decision was a correct logical deduction from the general principles laid down by Chief Justice Fuller in his opinion in that case. We may now add that nothing that happened in the higher courts in any way reflected upon the soundness of Judge Dayton's conclusions. The Circuit Court of Appeals reversed Judge Dayton's decision,—but in doing so it very carefully refrained from discussing that portion of his opinion which related to the question here under consideration. And the minority of the Supreme Court, consisting of Justices Brandeis, Holmes, and Clarke, also refused to discuss that portion of Judge Dayton's opinion which dealt with the Sherman Act, on the ground that that issue had not been properly raised by the pleadings. The dissent was therefore based upon the assertion that Judge Dayton misconceived the common law of the subject. *But on that question Judge Dayton was sustained by the majority of the Supreme Court.*

The majority of the Supreme Court, in an opinion delivered by Justice Pitney, did not find it necessary to discuss the application of the Sherman Act to the facts in the case because the case was not brought under the Act. But it referred to the fact that Judge Dayton's decision was based on the applicability of the Sherman Act to the situation *without dissenting from his conclusions on that point*. Indeed, those conclusions could hardly be escaped, if it were true, as stated by Chief Justice Fuller in his opinion in the *Danbury Hatters'* case, that acts of labor unions which were considered tortious at common law were "restraints of trade" under the Sherman Act. There was only one way of escaping that conclusion and that is by separating the notion of tortiousness at common law from the notion of restraint of trade,—in other words, *by exempting the operations of labor unions from the purview of the Sherman Act.*

IV

Congress Meant to Change

A reading of the debates both in the House and the Senate leaves no room for doubt about one thing—that Congress meant to change the law so as to make such decisions as those in the *Workingmen's Amalgamated Council* case, the *Danbury Hatters'* case, and the *Hitchman Coal* case, impossible in the future. There was some difference of opinion as to how much change was needed in order to effect that purpose, and as to just how Congress ought to go about making the changes that were needed. The differences of opinion as to how Congress was to go about making the needed changes were due to constitutional considerations which will be discussed further below. The differences of opinion as to what changes were needed, were due mainly to differences of opinion as to the state of the law, and the meaning of the decisions in the cases already referred to as well as some others. So, for instance, with respect to the *Hitchman Coal* case, aside from the fact that Judge Dayton's decision had been reversed by the Circuit Court of Appeals, there was considerable difference of opinion as to just what the decision meant. At least one of the participants in the Congressional debate was of the opinion that it had no bearing whatever on the status of labor under the Sherman Act, since the decision was based entirely on the state of the common law in West Virginia. That members of Congress should be confused as to the actual state of the law was only natural, in view of the dualism of the decisions. There was, therefore, considerable talk as to the "best" opinion among the judges, and the nature of the action that ought to be taken in order to make the "best" opinion the invariable law of the subject. There was also some difference of opinion as to what was the desirable law of the subject of labor disputes—that is to say, as to what *the substantive law of labor disputes ought to be*. But that difference of opinion related mainly to the questions covered by Section 20, which contained limitations upon the power of the federal courts to issue injunctions in labor disputes, and also an attempt to deal with the subjects that most often recurred in labor disputes substantively. But no such difference of opinion appeared with respect to Section 6,—the section dealing with the application

of the Anti-Trust Laws to labor. Whatever may have been the opinions of those members of Congress who refrained from participating in the debates,—those who *did* participate in the debates, with the possible exception of Senator Pomerene of Ohio, were unanimous in their opinion that the Anti-Trust Laws ought *not* to apply to labor.

That certainly was the opinion of those who favored the legislation and sponsored it. And of the critics of the Bill, only Senator Pomerene seemed to think that it went too far; but even he would not say outright that the Anti-Trust Laws ought to apply to labor on a parity with capital, or even assert that the Sherman Act was *meant* to so apply.³⁶ Other critics of the bill divided into

36. Pomerene started out by saying that he was opposed to the exemption of any class of people from the operation of the Sherman Law, and he was therefore opposed to the provisions of the Bill as it then stood because they would effect such exemption. He then further stated that a reading of the Congressional debates on the Sherman Act at the time it was enacted showed that the Congress which passed that Act did not intend to create such exemption. But he then proceeded to state that the demand of labor that it be exempted from the provisions of the Sherman Act was due to a misunderstanding on its part as to the actual meaning of that Act, and that if they understood its actual meaning they would never ask to be exempted. He then proceeded with an exposition of the meaning of the Sherman Act, based mainly on the Rule of Reason as announced in the *Standard Oil* and *Tobacco* cases, but became so involved in the attempt to explain the bearing of those cases on labor disputes, that it became perfectly definite that he was utterly insincere in his entire argument. In fact he was so cornered by Senator Borah and Senator Hughes, that one cannot help coming to the conclusion that he didn't believe his own argument, since he was a fairly good lawyer and could not possibly misunderstand the meaning of the decisions he was relying on. But that was not the only part of his long speech in which he was oscillating between contradictory positions in order to answer questions put to him by other Senators. By the time he got through it seemed, although he refused to say so explicitly, that he considered the applicability of the Sherman Act to labor disputes dependent upon the presence of violence. And when it was pointed out to him by other Senators that violence clearly had nothing to do with the problem of restraint of trade, he took refuge in vague expressions which, in the end, amounted to a statement that while the Sherman Act did not apply to labor because of the actual restraints of trade accomplished by it under any circumstances, no great restraint of trade could occur without accompanying violence which would then give the courts a handle to apply the Sherman Act. This confused and contradictory position appears strikingly from two colloquies, one with Senator Borah and the other with Senator Hughes. In the course of his main argument, based on the *Standard Oil* and *Tobacco* case decisions, he had asserted that no court would hold an ordinary labor dispute in which workers made "reasonable" demands for wages and con-

two classes: those who sought to improve it, and those who criticized it for partisan purposes. There were a few such, and they

ditions of employment illegal in view of the decision in the *Standard Oil* case. Senator Borah thereupon asked him who would have the decision as to whether the demands of the workers were reasonable or unreasonable, whereupon he stated that he had used the word "reasonable" carelessly, leaving the impression that the courts would have no right to interfere even if the demands were unreasonable, as long as they were peaceful. But in the later colloquy with Senator Hughes, he vacillated between the position of unreasonableness of the demands and accompanying violence, so that in the end one can tell just what his position was. The latter colloquy follows:

MR. HUGHES: "I want to get the Senator's idea of the effect of the present law upon these transportation strikes. The Senator described a set of circumstances which existed a few days ago and which threatened to involve all the railroads west of Chicago, I think the Senator said, in a general strike. He followed that up by saying that the natural result of that would be a terrific restraint of trade. Now, if that had happened; if that restraint of trade had occurred; if there had been a combination or agreement or conspiracy—call it what you will—of all the employees of all those railroads west of Chicago, and that had resulted, as it necessarily must have resulted, in an absolute restraint or cessation of trade, does the Senator think those conspirators or those in that combination or agreement would have come within the terms of the Sherman anti-trust law?"

MR. POMERENE: "On the Senator's statement of facts alone, I do not think so; but there are always, let me say—"

MR. HUGHES: "I will ask the Senator—"

MR. POMERENE: "Pardon me a moment, please. Let me suggest that it is easy enough to pick out a few innocent facts in these matters, on the one hand—"

MR. HUGHES: "I am taking the facts the Senator set out."

MR. POMERENE: "Just a moment. Or, on the other hand, to select out all adverse facts; and when we do that, on either side, we are not presenting the situation properly. We know, however, that when there is a condition such as I have described there are always other circumstances which become involved, which, together with what I have described, would make out a perfect case under the law."

MR. HUGHES: "It seems to me that if anything is plain it must be plain that the simultaneous withdrawal from employment on the part of men who are engaged in carrying goods from State to State must result in a restraint of trade. If the Senator thinks it does not, and says so, why, that is all I have to say. I can not imagine a more complete restraint of trade."

MR. POMERENE: "Not those facts alone, but—"

MR. HUGHES: "The Senator said in his speech that it would be a restraint of trade."

MR. POMERENE: "I understand all that. It would be a restraint of trade, but the facts which I have referred to alone, perhaps, in the hurried argument I was making, might not make out a case; but there are often other facts and circumstances accompanying these strikes. For instance, if the railroads should attempt to move their trains by the employment of other men, and were to be interfered with, then certainly a court would interfere."

MR. HUGHES: "I just want to get the Senator's view, because it is very important. The Senator, then, thinks that the simultaneous withdrawal of a lot of engineers and firemen which resulted in tying up all the railroads west of Chicago, so that no commerce at all could be moved by

supplied the bulk of the opinion expressed on the floor of Congress that the Bill did not give anything to labor. *But they were also most vociferous in the assertion that labor ought to be exempted from the operation of the Sherman Act.* Two things must be noted about these critics of the Bill. First, they were practically limited to members of the House of Representatives,—very little, if anything, of that sort appeared in the discussions in the Senate, which were generally on a higher plane than those in the House. Also, that these expressions of opinion were limited to the early stages of the discussion, before the Bill was put into its final form. For the rest, the discussion was among those who

rail, would not be a restraint of trade unless it was accompanied by violence?"

MR. POMERENE: "It is a restraint of trade. Those facts alone, however, without any other complications, might not be a violation of this law."

MR. HUGHES: "It would be a restraint of trade, would it not?"

MR. POMERENE: "Certainly it would; but the restraint of trade—"

MR. HUGHES: "The statute is directed against restraints of trade."

MR. POMERENE: "Undue restraints."

MR. HUGHES: "It is directed against restraints of trade. The Senator knows that."

MR. POMERENE: "As construed by the Supreme Court, it is an undue restraint of trade."

MR. HUGHES: "An unreasonable restraint of trade."

MR. POMERENE: "Yes."

MR. HUGHES: "Well, surely, if any restraint of trade would be unreasonable, a restraint of trade would be unreasonable which involved every railroad west of Chicago and cut the country in half, and left one-half of it with its goods piling up, and the other half of the country starving for them. No court could hold that that was reasonable."

MR. POMERENE: "Under those circumstances, would you cripple the law as it now is?"

MR. HUGHES: "Would I cripple it? Would I interfere with the right of those men to withdraw?"

MR. POMERENE: "Would you interfere with the enforcement of this law if it could be enforced, or if the circumstances were such as to justify it?"

MR. HUGHES: "I would interfere with any law that attempted to prevent any American workman from quitting his job when he got ready, either singly or in conjunction with anybody else."

MR. POMERENE: "So would I."

MR. HUGHES: "But the Senator does not say that."

MR. POMERENE: "I do say that, and I say it now."

MR. HUGHES: "The Senator turned to me and challenged my statement, and asked me if I would interfere with the law if it prevented that thing?"

MR. POMERENE: "My question was whether you would cripple the law under the circumstances?"

MR. HUGHES: "I would cripple the law. What would the Senator do?"

MR. POMERENE: "I would protect the public, always."

MR. HUGHES: "Very well. Then the Senator would prevent these men from withdrawing simultaneously from that employment."

MR. POMERENE: "If the facts and complications were such as to justify it, under the law, I certainly would do it."

MR. HUGHES: "That is all I want to know." (51 CONG. REC. 13,907-13,916 (1914)).

agreed on the necessity of legislation to bring about the exemption of labor from the operation of the Sherman Act but disagreed as to the best way in which to bring about that result.

In view of the positive assertions to the contrary from quarters both high and low, the burden of proof is upon us to prove our assertion by documentary evidence. Such proof is easily obtainable. In fact we suffer here from an "embarrassment of riches." It presents itself in various forms, and we shall therefore attempt to summarize it under various heads.

A. The Sherman Act Was Never Intended to Apply to Labor

This discussion naturally began with the question of whether or not the Sherman Act was intended to apply to labor, and this is certainly one of the best tests that we may apply to discover the intentions of Congress in enacting the Clayton Act. An examination of the debates will show that members of Congress, in both Houses, were all but unanimous in their opinion that the Sherman Act was never intended to apply to labor and that it was not properly applicable to labor disputes.³⁷ At the very outset of the debate in the House of Representatives,³⁸ Mr. Henry, one of the leaders of the House, Chairman of the powerful Committee on Rules, and one of the sponsors of Section 6 in the form in which it finally passed the House, said:

"In my judgment, when Congress was dealing with 'combinations in restraint of trade' it never intended that the law should apply to labor organizations or farmers' organizations without capital and not for profit. *The courts took a different view of it and construed the act as it was never intended that it should be interpreted. The time has come when we can correct that error and write the language in the law as those gentlemen (referring to the labor leaders) insist that it should be and should have been.*"³⁹

37. We do not recall a single instance where a member of either House of Congress stated flatly that Congress, in passing the Sherman Act, had intended that it should apply to labor or labor disputes, even though some members were of the opinion that the language used in that Act left it open to such construction by the courts. Senator Jones was one of those.

38. The main debate in the House took place while the House was sitting as Committee of the Whole on June 1 and 2, 1914.

39. 51 CONG. REC. 9,540, 9,541 (1914).

Mr. Henry then proceeded to prove by reference to the debates in Congress at the time the Sherman Act was under consideration in the Senate that the Congress which passed the Sherman Act never intended that it should apply to labor.

Mr. Henry was followed by Mr. Bartlett, co-author of the Bartlett-Bacon Bill in the preceding Congress, referred to above, who said :

"I congratulate the Committee on the Judiciary ; I congratulate the country that the hour is now at hand when the shackles placed by a *misconstruction of the Sherman antitrust law* upon labor and like organizations shall be stricken from them, and when they shall stand before the country *free to exercise their right to perform* and to do those acts as organizations that they are entitled to do and *those things which no one should ever construe they were forbidden to do by the Sherman antitrust law.*" ⁴⁰

Then he, too, proceeded to quote from the debates on the Sherman Act when that was discussed in the Senate, in 1893, to prove that the Sherman Act had never been intended, by its sponsors, or the Congress which passed it, to apply to labor organizations. Mr. Bartlett's statement is particularly important as it shows that the sponsors of the Bill in its final form as adopted by the House, considered it the equivalent of the language of the Bartlett-Bacon Bill which exempted labor unions *in so many words*.

The assertions of Mr. Henry and Mr. Bartlett that the Sherman Act had not been intended by Congress to apply to labor was reiterated throughout the debates in both Houses of Congress. In the House, this opinion was voiced by Mr. Towner, Mr. Johnson, Mr. Hensley, Mr. Barkley, Mr. Lewis, Mr. Buchanan, and Mr. Madden.⁴¹ In the Senate this opinion was expressed at the

40. *Id.* at 9,543.

41. In referring to these debates, and the meaning which the various speakers ascribed to the proposed law, we must always be careful to bear in mind the stage of the proceedings and the particular language before the House at the time the speech was delivered. When Mr. Bartlett made the statement quoted in the text, the proposed section was in the form in which it was finally adopted by the House, but not in the form in which it was passed by the Senate, which is the form in which it was also reported from the Conference Committee and in which it finally became law. The latter form was a considerable improvement over the form in which it had been adopted by the House, as will appear from the discussion further below in the text.

very beginning of the discussion by Senator Ashurst, the Chairman of the Judiciary Committee of the Senate, who said:

"It was not the intention of the legislators to apply the Sherman antitrust law to labor organizations, although the courts, by strained and harsh constructions, have sought to apply it to labor organizations."⁴²

The same opinion was voiced by Senators Thompson, Hollis, Hughes, Thomas, Owen and Cummins.⁴³ Senator Cummins' opinion is particularly important in view of his outstanding position as a leader of the Senate and of his influence upon the final shaping of Section 6.

B. The Courts Have Perverted the Sherman Act

It was only natural that those members of Congress who had expressed their opinion that the Sherman Act had not been intended to apply to labor, should also express the view that the courts had perverted that Act from its original intention. That view was actually expressed by the members of Congress already mentioned as well as others. The views with respect to the role of the courts in perverting the Sherman Act from its original intention varied from Senator Ashurst's comparatively mild "by strained and harsh constructions" to the stronger language quoted above from Mr. Henry's speech in the House. Occasionally, the language used was, indeed, very strong. Among those who expressed the view that the present deplorable state of the law was due to the action of the courts rather than to the intention of Congress in passing the Sherman Act were, in addition to those already mentioned, Messrs. Murdock, Quin and Casey, in the House and Senators Kern and Williams in the Senate.⁴⁴ Senator Williams' opinion is particularly interesting in view of his outstanding position as a leader of Congress. Said he:

"Mr. President, it seems to me this whole matter may be summed up almost in one sentence. A statute which was passed avowedly and without question to check the operation of the tyranny of the combined money power of the country

42. 51 CONG. REC. 9547, 9549, 9551, 9554, 9565, 16338, Appendix 939 (1914).

43. *Id.* at 13663, 13844, 13846, 13967, 13969, 14021, 14023.

44. *Id.* at 9542, 9546, 9557, 13664, 14588.

as being a menace to free institutions was construed by the Federal Judiciary so as to operate against the freedom and liberty of men engaged in hiring their labor. It is another instance of judge-made law. The judges amended a legislative act. *The sole question before us is whether we shall perpetuate this judge-made law or whether, by broad language, we shall put an unmistakable end to it.*"

C. *This Bill Is Intended to Undo What the Courts Have Done*

Senator Williams, in the sentence italicized above, succinctly put the question then before Congress *as Congress itself conceived it*. Being practically unanimously of the opinion that the Sherman Act was never intended to apply to labor; that it had been improperly perverted by the courts from its original intention; and that an injustice had thereby been done to labor of which labor had justly complained—Congress was ready to redress labor's grievances by using language which could not be mistaken or perverted by the courts. As we have seen, Mr. Henry expressed this intention of Congress in the commencement of the debate in the House. His sentiments were echoed by all of the speakers already mentioned, and some others. Among those who were emphatic on the subject was Mr. Webb, Chairman of the Judiciary Committee of the House, who was in charge of the Bill. He said:

"We have given them (*i. e.*, the laboring men) *what they have been demanding from this Congress for twenty long years.*"

And Mr. Henry, the leader of the House, said in concluding the debate on the subject in the House:

"Then to make sure that no court shall ever attempt to *pervert and nullify* the law we are going to add at the end of section 18 this broad and explicit language: 'Nor shall any of the acts specified in this paragraph be considered or held unlawful.' Is this not indeed a notable and triumphant victory for the laboring forces after their long and severe struggle for justice?"⁴⁵

D. *Congress Believed Itself to Be Enacting a Magna Charta*

What Congress believed itself to have accomplished when it

45. *Id.* at 9074, 9541.

was done with its labors is expressed in the last sentence just quoted from Mr. Henry's speech in closing the debate. In view of this, it is rather odd to find Professor Mason accusing Mr. Gompers and the other labor leaders of negligence in not following the Congressional debates, and in placing upon the Clayton Act encomiums which the authors of the Act apparently did not think it merited. The historic truth is that it was Congress itself that placed this valuation upon the Clayton Act, and that the very terms "Magna Charta" and "Bill of Rights" were used in Congress with reference thereto. So Mr. Webb, Chairman of the Judiciary Committee of the House, who piloted the Bill through the House, said towards the close of the debate:

"Mr. Chairman, when you read Section 7, together with Sections 17 and 18, the members of the Judiciary Committee declare unto this House, unto the country, and unto the laboring people that we have given them a *bill of rights*. We have given them a *magna carta*." ⁴⁶

And Mr. Henry, the leader of the House, said:

"It satisfies labor and they have accepted it as a solemn redemption of our tendered pledge. What more could be asked? What more could be accomplished? In this bill labor has secured more rights and just privileges than all the legislation accorded them in a hundred years of Federal enactments! A great achievement for them and a wonderful record for Democracy!" ⁴⁷

When the bill, which originated in the House, finally came back to the House from the Conference Committee, which accepted the amendments of the Senate, Mr. Buchanan, one of the sub-leaders of the House, delivered the valedictory on the work of Congress as a whole. Mr. Buchanan commenced his address as follows:

"Mr. Speaker, when this bill shall have become a law the wage earners of our country will have reason to rejoice. It will be equivalent to a renewal of the Declaration of Independence in part, especially so far as it affects the freedom of speech, the freedom of the press, and freedom of assembly.

"Some gentlemen who are opposing this bill seem to fear that

^{46.} *Id.* at 9074. Section "7" of the Bill became Section 6 of the Act. Section "18" became Section 20 of the Act.

^{47.} *Id.* at 9541.

this does not give the laborers of the country what they desire and what they have asked for for so many years. I believe those who know the president of the American Federation of Labor and its executive council believe that they have some intelligence, and I believe that Samuel Gompers, the president of the American Federation of Labor, is one of the most intellectually brilliant men of my acquaintance, a man who is loyal to principle and whose fidelity to the cause of labor can not be questioned.

"The president of the American Federation of Labor, in an editorial in the *Federationist*, after quoting in large type that part of the amendment that was put on to section 7 in the Senate—

The labor of a human being is not a commodity or an article of commerce—

claims that this was a most momentous victory when on September 2 the Senate passed the Clayton antitrust bill. He adds further, that the opening statement of this section of the bill gives it strength and virility; and after summing up the amendments to what was old section 18, and which I believe is now section 20, he speaks approvingly of them. I believe he has not only the intelligence but the experience which entitles him to pass judgment upon these provisions, because as a result of the usurpation of judicial power in the issuance of injunctions and in the trial of alleged contempts he has faced imprisonment. And not only does he speak from his own experience, but he and his associates have had the benefit of the ablest counsel whom they could secure, and those able attorneys have also had experience in defending them against injunction and contempt proceedings. Therefore it seems to me that they are in a position to know whether or not this gives the American workingmen the protection they have sought for so many years."⁴⁸

48. *Id.* at 16336. And on the same occasion, Mr. Fitzhenry, another important member of the House, said: "Section 6 is the great 'magna carta' to the toiling masses of this country, permitting individuals to organize for all lawful purposes, and announcing the principle that 'the labor of a human being is not a commodity or article of commerce.'" If there was any one issue decided more conclusively than all others in the great conflict of 1861 to 1865 it was that the labor of a human being from that time henceforth should not be a commodity or an article of commerce in this country. Yet great trusts and combinations, with the assistance of some of the judges of our Federal courts, have made some progress along the line of establishing a system of law by precedents which recognizes that the labor of a human being is a commodity or an article of commerce. This law will forever settle that question.

"My district, which is not a large one, at this late day, almost fifty years

The Congressional leaders had anticipated Mr. Gompers in the encomiums showered on the Clayton Act, including the use of the terms "Magna Charta" and "Bill of Rights" as applicable to sections 6 and 20, respectively. And they approved of these encomiums, as fully deserved, *after* Mr. Gompers had repeated them in the pages of the *American Federationist*.

V

When Labor Goes to Court

In view of the tenor of the Congressional debates on the Clayton Act, as depicted above, the question naturally arises: *How come?* How did it come about that the Supreme Court concluded, in effect, that Congress had never intended to introduce any serious change into the law? Didn't the counsel for the labor unions in the many cases involving the Clayton Act which came before the courts in after years call attention to these debates and their significance?

The answer to the last question is very simple. *They didn't.* And that also answers the first question. Since the representatives of labor did not present to it the true facts of the story as it actually took place in Congress when the Clayton Act was under consideration, the Supreme Court acted in ignorance of that history. And ignorance of that history led to a misunderstanding of the provisions of the Act, for those provisions could only be understood, and the reason for the choice of particular language by Congress comprehended, after a careful study of the Congressional debates *in the light of the legal situation as it then existed*

after the historic scene at Appomattox, contains about 1,400 gallant old veterans, many of whom bear the scars of battle and all of whom now show the ravages of years, who went to the front gladly to lay down their lives to vindicate the doctrine that the labor of a human being should not be a commodity. It is gratifying even at this late day to be able to reassure them that the sacrifices which they made and the suffering which they and their comrades endured in the great conflict have not been in vain.

"No; the labor of a human being is not a commodity or an article of commerce, and hereafter nothing contained in the anti-trust laws shall be construed to forbid the existence and operation of labor, agricultural, or horticultural organizations instituted for the purposes of mutual help and not having capital stock or conducted for profit, or to forbid or restrain individual members of such organizations from lawfully carrying out the legitimate objects thereof; nor shall such organizations, or the members thereof be held or construed to be illegal combinations or conspiracies in restraint of trade under the anti-trust laws."

—meaning thereby not only the decisions with respect to labor in its relation to the Sherman Act but the entire body of labor law in its relation to the constitutional principle then current, and their bearing upon this subject. And it must be said now as an undisputed fact that, strange as it may sound, *the true Congressional history of the Clayton Act has never been presented to the Supreme Court, and the meaning of Section 6 never adequately argued before that Court from the point of view of labor.*

The question therefore really is: How does one account for that situation?

The question was partly answered by Professor Berman in a statement made by him concerning a similar situation with respect to the Sherman Act. In discussing the fact that the true import of the Congressional debates on the Sherman Act had not been presented to the Supreme Court during the argument of counsel in the *Danbury Hatters'* case, he said:

"One cannot leave the discussion of the argument of counsel in the case without calling attention to the failure of the attorneys for the workers to present their case properly. They permitted counsel for the firm to present a misleading account purporting to show that Congress intended that the act should apply to labor; and they made no effective answer to that account. An adequate presentation of the Hatters' case to the Supreme Court might have greatly changed the history of labor cases since 1908."⁴⁹

But that does not give the full explanation. Nor could it—for, unlike the situation under the Sherman Act, there has been a goodly number of cases under the Clayton Act, and all of the counsel who appeared on labor's side in these cases, some of them very able, could not have been either ignorant or remiss in their duty. The explanation lies rather in the peculiar history of the labor anti-trust cases since the enactment of the Clayton Act, particularly in the manner in which the first of these cases came before the Supreme Court.

A. The Duplex Printing Press Case

It will be recalled that the first case in which the Clayton Act

49. BERMAN, LABOR AND THE SHERMAN ACT (1930) 86.

was considered by the Supreme Court was the *Duplex Printing Press* case. That was an injunction suit which had been pending at the time of the passage of the Clayton Act. Prior to the enactment of Section 16 of the Clayton Act private parties could not sue for injunctive relief under the Sherman Act. The action was therefore brought not under the Sherman Act, but as an ordinary injunction suit at *common law*, jurisdiction being founded on diversity of citizenship. As was usual in those days, however, the complaint also alleged a violation of the Sherman Act, by way of showing the illegality of the acts complained of. By the time the case came to trial the Clayton Act had been enacted and the defendants claimed that that Act *legalized* the acts which the complaint alleged as violative of the plaintiff's *common law* rights. The only two questions before the Supreme Court were: first, whether the Clayton Act applied; and, second, whether that Act *legalized* what was claimed to be a secondary boycott, and therefore tortious at *common law*. The argument of counsel for the labor union was, therefore, naturally directed to these points only; and the only part of the Clayton Act seriously urged upon the Court was Section 20, which does *legalize* certain acts. Indeed, from the point of view of counsel for the union in that case, the applicability of the Federal Anti-Trust Laws was quite unimportant, since if the plaintiff were right in its contentions with respect to Section 20, the Supreme Court would have to decide adversely to the union regardless of the applicability of the Federal Anti-Trust Laws. The Supreme Court, in its decision, followed the course of the argument at the bar; the only question really considered as far as the construction of the Clayton Act was concerned was whether or not the Clayton Act *legalized* the allegedly tortious acts complained of. The opinion, therefore, naturally revolved around the provisions of Section 20—Section 6 being barely mentioned. Said Mr. Justice Pitney, speaking for the majority of the Court:

“Upon the question whether the provisions of the Clayton Act forbade the granting of an injunction under the circumstances of the present case, the circuit court of appeals was divided; the majority holding that under Section 20, ‘perhaps in conjunction with Section 6,’ there could be no injunction. These sections are set forth in the margin. De-

endants seek to derive from them some *authority for their conduct*. As to Section 6, it seems to us its principal importance in this discussion is for what it does *not authorize*, and for the limit it sets to the immunity conferred. * * *

"The principal reliance is upon Section 20." ^{49a}

The Court thereupon proceeded to discuss at length the meaning of Section 20—coming to the conclusion that it *did not legalize* the acts complained of. The dissenting opinion of Mr. Justice Brandeis, concurred in by Justices Holmes and Clarke, took the same course as far as the discussion was concerned but came to the opposite conclusion—that Section 20 *did legalize* the acts complained of. It is immaterial, for the point here under discussion, whether or not Section 20 legalized the secondary boycott or anything else. The important thing is that *that was an entirely different question from that of the non-applicability of the Federal Anti-Trust Laws to labor disputes, expressly provided for in Section 6*.

And, strange as it may seem, *that question was never again raised in the Supreme Court* as far as we could ascertain until the argument in the *Apex Hosiery* case. It was not adequately argued, nor fully considered, even in that case.⁵⁰

^{49a}. See *Duplex Printing Press Co. v. Deering*, 254 U. S. 443, 468-469 (1921).

⁵⁰. It is interesting to note that in the latest case argued before the Supreme Court, that of *United States v. Hutcheson*, Section 6 of the Clayton Act was again slurred over by counsel for the Union (again presumably because of practical considerations connected with the nature of the case) and main reliance was had on Section 20. And the Supreme Court, in its opinion, of necessity followed the same course. The case therefore presented substantially a repetition of the situation in the *Duplex* case, except that Mr. Justice Frankfurter, speaking for the majority, now laid down as the law the opinions of the minority in the *Duplex* case, as presented by Mr. Justice Brandeis, while Mr. Justice Roberts now presented the opinion of the majority in the *Duplex* case as his dissenting opinion. The only reference to Section 6 is in Mr. Justice Robert's dissenting opinion, and that section is disposed of by the brief remark that "Section 6 has no bearing on the offense charged in this case," which is strongly reminiscent of the language of Mr. Justice Pitney in the *Duplex* case to the effect that Section 6 is chiefly remarkable for what it does not say. Neither Mr. Justice Frankfurter nor Mr. Justice Roberts made any reference to the Congressional history of the Clayton Act since no such reference was made by counsel for the Union in their brief.

B. *The Coronado Coal Case*

The next case in which the applicability of the Federal Anti-Trust Laws to labor came before the Supreme Court was the *First Coronado* case.⁵¹ That was an action for treble damages under the Sherman Act—the damages being the result of a strike conducted by the United Mine Workers against the plaintiff and other coal operators in a non-union coal field in Arkansas. In the Supreme Court the case was argued by one of the most distinguished lawyers of the country, if not *the* most distinguished lawyer in the country at that time, Mr. Charles Evans Hughes, then a retired Associate Justice of the Supreme Court, and now Chief Justice Emeritus of the United States. *But Mr. Hughes did not raise the question of the applicability of the Sherman Act to labor.* His argument raised a number of very interesting legal questions not relating to the construction of the Sherman Act, and his argument on the legal problem under that Act related solely to the question whether the acts complained of came within the terms of that Act as construed by the Supreme Court in earlier cases. The explanation for this course was simple: Every lawyer trying or arguing a case is primarily interested in *that* case, and not in abstract legal propositions. This is particularly true when a lawyer is called in as counsel in a particular case, and is therefore not interested in the law involved in the case as it may affect his client generally in other cases. Also, it is generally considered among lawyers inadvisable to challenge earlier decisions of the court before which you are making your argument—or that of any other important court, for that matter—unless such a frontal attack is absolutely necessary to the winning of the case in hand. Mr. Hughes thought that he could win his case by appealing to the earlier decisions of the Supreme Court construing the Sherman Act generally and he was not inviting trouble by entering the field of the debatable question of the applicability of that Act to labor. The events proved that he was right in his calculations,—at least as far as the immediate result was concerned. He did win his case. It is true that his client lost it eventually. But that could not be foreseen at the time; nor is it quite certain that it could have been avoided even if the point of

51. *United Mine Workers v. Coronado Coal Co.*, 259 U. S. 344 (1922).

applicability had been raised and won. For the decision in the *Second Coronado* case depended on a point which is not disposed of by a decision that the Sherman Act does not apply to labor disputes. We believe, for reasons which will appear further below, that the *Second Coronado* case was incorrectly decided. But that conclusion is based on considerations which involve debatable questions of what is a *labor dispute* in this connection. And the raising of such questions was certainly not part of Mr. Hughes' job. Result: *The applicability of the Sherman Act—i. e., the effect of the Clayton Act upon that applicability—was not raised.* The applicability of the Sherman Act to labor notwithstanding the Clayton Act was taken for granted.^{51a}

C. *The Bedford Cut Stone Case*

The next case to come before the Court was the *Bedford Cut Stone* case.⁵² The same considerations which governed Mr. Hughes' argument in the *First Coronado* case apparently governed the conduct of counsel for the union in the *Bedford Cut Stone* case. They, too, were apparently not looking for trouble, and considered discretion the better part of valor. They believed that they could win their case by differentiating the facts in their own case sufficiently from those in which the decisions of the courts had been adverse to labor so as to secure a favorable decision on the basis of the general applicability of the Anti-Trust Laws to labor within the rules previously laid down by the courts as to what was generally permissible under that Act in a labor

^{51a}. It is also possible, of course, that Mr. Hughes actually believed that Section 6 was, as Mr. Justice Pitney said in the *Duplex* case, chiefly remarkable for what it did not say. In this connection, it is interesting to note that Mr. Hughes, as Chief Justice, joined in the dissenting opinion in the *Hutcherson* case in which Mr. Justice Roberts said that Section 6 has no bearing upon the situation presented in the *Hutcheson* case. Clearly, Mr. Hughes, both as counsel and as Judge, must have had a very narrow conception of the scope of Section 6. And that could only have been the result of the failure of those who spoke for labor in the courts to present a true history of the Clayton Act in the various forms which it assumed in its passage through Congress, which is absolutely necessary to an understanding of the true meaning of that Act, and particularly to the meaning and importance of Section 6.

⁵². *Bedford Cut Stone Co. v. Workingmen's Association*, 274 U. S. 37 (1927).

dispute. At any rate, by the time this case reached the Supreme Court the general applicability of the Anti-Trust Laws to labor had been established not only by the decision in the *Duplex Printing Press* case, but also by the two decisions in the *Coronado Coal* cases. Surely, with the eminent counsel in the *Coronado* cases not even raising the point, and the *Duplex* case expressly deciding that Section 6 meant nothing—for such was the professional opinion by this time, even though that point had never been really argued before the Supreme Court—they were not going to raise the point, thereby complicating a situation which they thought they had well in hand. It must be remembered, in this connection—in extenuation of their guilt—that they had been lulled into security by the decision in their favor in both the District Court and the Circuit Court of Appeals. So they did not raise the point either. Result: *The case of Section 6 went against labor by default.*⁵³

(To Be Continued)

Louis B. Boudin.

NEW YORK CITY.

53. In the *Apex* case, an argument intended to open the default was made, in the course of which the present writer, as counsel for the National Lawyers' Guild, *amicus curiae*, advanced for the first time the distinction between exemption of labor unions and exemption of *labor disputes*. But in the course of that argument the present writer stated that that distinction, which he believed to be the correct solution of the problem, was based on a careful study of the Sherman Act and a *preliminary* study of the Clayton Act—the present study not having been completed at that time. The motion to open the default may be considered to have been granted, and the argument on the merits *partially* presented in that case. Full and adequate argument has still to be made. Which probably accounts for a lack of definite decision by the Supreme Court on the exact line of demarcation between those activities of labor organizations which have been “immunized” and those that have not been so “immunized,” by the Clayton Act.